

**FOREIGN AND DOMESTIC OWNERSHIP, BUSINESS
GROUPS AND FIRM PERFORMANCE IN A LARGE
EMERGING MARKET: EVIDENCE FROM INDIA**

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FOREIGN AND DOMESTIC OWNERSHIP, BUSINESS GROUPS AND FIRM PERFORMANCE IN A LARGE EMERGING MARKET : EVIDENCE FROM INDIA

Abstract

The present paper provides an in-depth investigation of the influence of the firms' ownership structure on firm performance. Specifically, the influence of owner heterogeneity is explored by adopting a multi-theoretic approach. The adoption of such an approach facilitates a holistic and richer understanding of the observed differential impact of various shareholders on firm performance among emerging market firms such as those in India. Prior studies have not made a distinction between foreign financial institutions and foreign industrial corporations. The aggregation of these investors into a common class of shareholders results in crucial differences in their abilities, incentives and consequent differential influences on performance remaining unmasked. By employing an approach embedded in the elements of the property rights dimension, the resource based view and drawing on pertinent institutional factors, a more holistic explanation of the differential impact of foreign institutional and foreign corporate shareholders on firm performance is obtained. The study finds that the previously documented positive effect of foreign ownership on firm performance is substantially attributable to foreign corporations that have, on average, a larger shareholding, higher commitment and longer-term involvement. Moreover, the study also documents that the importance of owner identity and their differential effects extend to domestic shareholdings as well. The study also finds a positive influence of domestic corporate shareholdings vis à vis domestic financial institutions. These results are consistent with the theoretical postulates of the present study utilizing the multi-theoretic approach concerning the impact of these various categories of shareholdings.

1.1 Introduction

Explaining performance diversities among firms is a leading theoretical and empirical issue in the fields of strategy and finance. Understanding how these performance differences arise and translating that into how it can be achieved is of central concern to the field (Rumelt *et al.*, 1994). In the research growing out of the industrial organization tradition, industry structure is a central determinant of firm performance (Porter, 1985). However, recent strategic management studies suggest that firm specific factors are more important in explaining the differential performance of firms (Rumelt *et al.*, 1994, McGahan and Porter, 1997). Differences among these firm specific factors are created and sustained through,

among others, differing property rights, resources, organizational processes and team skills (Rumelt *et al.*, 1994). This paper aims at examining the property rights dimension (i.e. ownership structure), the provision of scarce and inimitable resources by various shareholders and the associated institutional context in explaining differences in firm performance.

A firm's ownership structure influences its performance for numerous reasons. Firstly, differences in identity, concentration and resource endowments among owners determine their relative power, incentives and ability to monitor managers. Shareholdings by corporations, individuals, banks, mutual funds and governments are well-known examples of this phenomenon. Secondly, as owners have divergent goals, they have different influences on firm performance. For example, financial investors may be interested in short-term returns on their investment, while corporate investors may be more inclined towards establishing a long-term relationship.

The theoretical postulates concerning the relationship between the firm's ownership structure and firm performance put forward by Jensen and Meckling (1976) and Shleifer and Vishny (1986) were empirically tested in developed capital markets by Morck, Shleifer and Vishny (1988), McConnell and Servaes (1990), Thomsen and Pedersen (2000) and Gedajlovic and Shapiro (1998, 2002), to name a few. These studies found significant managerial, blockholder and institutional influences on firm performance.

However, in emerging and transition economies external mechanisms are less developed, and therefore, governance of listed corporations takes place mainly through internal mechanisms. Furthermore, institutional factors like family-run business groups play a distinctive role. Government controlled financial institutions are often important shareholders and have incentives and objectives quite different from those of private investors. Consequently, the effect of ownership on performance in emerging economies is likely to be different. La Porta *et al.* (1999) highlight the preponderance of blockholdings in general and familial holdings in particular among non Anglo-Saxon economies. There is a growing body of literature examining ownership structure issues from emerging

economies. Qi, Wu and Zhang (2000), Claessens *et al.* (2000), Khanna and Palepu (2000a), Khanna and Rivkin (2001), and Lemmon and Lins (2003) are a representative few encompassing the literature in the strategy and finance realm.

In this study, the researcher utilized large-scale firm level data of Indian listed corporations to take a closer look at the performance impact of shareholders. The paper makes some significant contributions to the existing literature. Firstly, the researcher introduced a multi-theoretic approach to examine the impact of ownership structure on firm performance. Using this approach facilitates to generate a number of testable propositions on the nature of the influence of the different ownership categories on firm performance. Secondly, prior studies did not make a distinction between the two most important categories of foreign shareholders namely, foreign financial institutions and foreign industrial corporations. Since the nature of these two different classes of investors and their motivations are fundamentally different, the aggregation of them into one common class of shareholders masks certain important results which can only be determined if they are analyzed separately. Thirdly, while foreign ownership is undoubtedly an important component in the shareholding of firms in many emerging countries, it is far from being the largest block of shareholding in these countries. It has been found that domestic corporations, which constitute the largest proportion of shareholdings in Indian corporations, also perform a significant role. Finally, the recent data have been used to provide additional evidence on the influence of controlling shareholders when firms are affiliated to a business group. Earlier studies utilized data predating several institutional and regulatory changes in India that occurred subsequent to the mid 1990s.

1.2 Theoretical underpinnings

A number of studies have examined ownership and performance relationships using agency theory as the theoretical lens. However, for firms in emerging economies, this standpoint does not fully account for the diversity in the ownership-performance linkage (Hoskisson, Eden, Lau and Wright, 2000). Eisenhardt (1989) and Oliver (1997) also argue that agency theory presents a partial view of the world and advocate merging agency and resource-based

theories with institutional theory. In view of this, the researcher takes recourse to embrace a multi-theoretic approach by incorporating elements of agency theory, resource-based theory and institutional theory. Combining these various perspectives yields a richer and more composite understanding of the influence of various shareholders in determining firm performance especially among emerging economies. Several recent studies (e.g. Hillman and Dalziel, 2003; Lynall, Golden, and Hillman, 2003) have usefully employed a multi-theoretic approach to examine a wide array of governance issues.

1.2.1 Agency theory

Agency theory concerns itself with problems that arise when the desires of the principal and the agent conflict with each other and when it is difficult or expensive for the principal to verify what the agent is actually doing (Eisenhardt, 1989). This feature allows corporate managers to pursue their own interests at the expense of shareholders. Managers who disregard shareholder interests may be ousted by powerful shareholders or by a hostile takeover. This presupposes that shareholders have an interest to indulge in monitoring managerial behavior. However, shareholders differ with respect to incentives to spend resources on monitoring. Shareholders owning a miniscule proportion of shares of a firm have very little incentive to devote the necessary time and effort on voicing their view on account of free riding from other shareholders.

Dharwadkar *et al.* (2000) argue that firms in emerging economies are especially characterized by unique agency problems arising from *principal - principal* goal incongruence. This is in addition to the traditional agency problems based upon *principal - agent* goal incongruence as observed in many Anglo-Saxon economies. The *principal - principal* goal incongruence in emerging economy firms stems from expropriation within weak governance contexts when large or majority owners assume control of the firm and deprive minority owners the right to appropriate returns on their investments (Claessens *et al.*, 2000; Lemmon and Lins, 2003).

The impact on firm performance of various ownership categories taking into account both traditional and unique agency issues using the twin dimensions of

ownership identity and ownership magnitude as proposed by Dharwadkar *et al.* (2000), may be postulated in four different parts. Part *I* represents *dispersed - outside* shareholders whose impact on performance is postulated to be moderate because their ability to effectively monitor is limited by higher coordination costs and information asymmetry problems (Coffee, 1991; Black, 1998). Part *II* represents *dispersed - inside* shareholders who embody the worst of both worlds. Being inside and dispersed distorts their incentive structures and compromises their ability to undertake an effective monitoring exercise (Claessens *et al.*, 2000; Sarkar and Sarkar, 2000; Khanna and Palepu, 2000b). Consequently, their impact on performance is predicted to be inferior. **Part III** represents *concentrated - inside* ownership. While more concentrated holding results in a stronger incentive to efficiently manage the affairs of a firm, it provides opportunities and the means for expropriation of minority shareholders (Bebchuk, *et al.*, 2000; Claessens *et al.*, 2000; Wiwattanakantang, 2001; Joh, 2003). Therefore, the impact on performance is envisaged to be moderate. Finally, Part *IV* depicts *concentrated - outside* shareholdings whose impact on firm performance is postulated to be superior as these shareholders are capable of mitigating the expropriation of minority shareholders while at the same time maximizing the benefits of risk bearing, incentive alignment and monitoring (Chibber and Majumdar, 1999; Dharwadkar *et al.*, 2000; Allen and Philips, 2000).

1.2.2 Resource-based theory

According to the resource-based theory, a firm's competitive advantage is based on the possession of tangible and intangible resources, which are difficult or costly for other firms to obtain. In order to sustain the firm's competitive advantage these resources must be valuable, rare, inimitable and unsubstitutable. A major contribution of resource-based theory is that it explains long-lived differences in firm profitability that cannot be attributed to differences in industry conditions (Peteraf, 1993). It can be argued that considerable resource heterogeneity exists among various shareholder categories. For emerging economy firms, these differences arise from shareholders being either foreign or domestic and financial or strategic. The impact on firm performance of these

owners with diverse resource endowments is expected to differ as a consequence of this heterogeneity in resources and organizational capabilities. I shall now exemplify the impact on firm performance of various shareholders.

Financial - foreign shareholders are endowed with good monitoring capabilities, but their financial focus and emphasis on liquidity results in them unwillingness to commit to a long-term relationship with the firm and to engage in a process of restructuring in case of poor performance. These shareholders prefer strategies of exit rather than voice to monitor management (Coffee, 1991; Aguilera and Jackson, 2003). Consequently, *financial - foreign* shareholders are postulated to have a moderate impact on firm performance. *Financial - domestic* shareholders possess characteristics that represent the worst of both worlds. Their financial focus leads to short-term behavior and a preference for liquid stocks while their domestic affiliation often results in a complex web of business relationship with the firm and other domestic shareholders (Claessens *et al.*, 2000; Dharwadkar *et al.*, 2000). Therefore, these shareholders are expected to have a negative influence on firm performance.

On the other hand, there are domestic and foreign shareholders who possess strategic interests because their ownership stakes are motivated by non-financial goals, such as obtaining control rights and developing sustainable competitive advantages and capabilities (Aguilera and Jackson, 2003). *Strategic – foreign* shareholders use their ownership stakes as a means to foster their strategic interests, which involve securing access to new markets, location specific resources and low cost production facilities. Their foreign affiliation also gives domestic firms relatively easy access to superior technical, managerial and financial resources (Chibber and Majumdar, 1999). Therefore, their impact on firm performance is projected to be superior. *Strategic – domestic* owners exercise property rights as a means to pursue the strategic interests of their organizations which include regulating competition between firms, underwriting relational contracts, securing new markets etc. (Aguilera and Jackson, 2003). However, their impact on firm performance is anticipated to be moderate because, in comparison to *strategic - foreign* shareholders, they have relatively

inferior resource endowments and capabilities.

1.2.3 Institutional theory

While agency theory and the resource-based theory are powerful tools and provide important insights in examining the impact of ownership on firm performance, they suffer from the serious limitation that these two perspectives do not examine the social context within which the firm's activities are embedded. Institutional theory has the potential to address this important lacuna by introducing the social and regulatory context in influencing organizational structure and firm behavior. Thomsen and Pedersen (2000) in their study on large European corporations argue that both ownership concentration and identity are embedded in national institutions and these have to be taken into account when accessing implications for corporate strategy and performance.

Institutional theory emphasizes the influence of socio-cultural norms, beliefs and values, regulatory and judicial systems on organizational structure and behavior. Institutions regulate economic activities through formal and informal rules as a basis for production, exchange and distribution (North, 1990). In addition to these features, emerging economies are characterized by greater imperfections in the markets for capital, products and managerial talent. These lead to so called 'institutional voids' - a situation when specialized intermediaries which typically provide these services in developed economies are absent (Khanna and Palepu, 2000). It presents an opportunity for some firms, which have the necessary resources and capabilities to bridge these institutional voids. Business groups are particularly well suited to provide the necessary welfare enhancing functions to plug these institutional voids because of their superior ability to raise capital, train and rotate managerial talent among group firms and use common brand names in marketing their products. On the downside, though, some of these institutional voids and ineffective protection of minority shareholder and creditor rights lead to greater entrenchment by controlling shareholders resulting in conditions ideally suited for expropriation of disadvantaged stakeholders.

1.2.4 Multi-theoretic perspective

In view of the afore mentioned inadequacies of a unitary perspective, the researcher adopted a multi-theoretic view in this paper by taking recourse to elements of agency, resource-based and institutional theories to formulate a more holistic perspective in examining the impact of ownership structure on firm performance. Combining the agency, resource-based and institutional theories reveals the differing influences of various categories of shareholders among emerging economy firms. Broadly, they indicate that there exists a positive reinforcing effect on firm performance if the shareholder is outside, concentrated, foreign and has strategic resources. On the other hand, at the opposite end of the spectrum, there are negative reinforcing effects if the shareholder is inside, dispersed, domestic and has financial interests. The reinforcing effects are accentuated further when the agency and resource-based characteristics of these shareholders are embedded in emerging economy institutional settings.

With regard to shareholders with some other combinations of ownership traits, agency and resource-based effects tend to counteract each other. For instance, inside, concentrated, domestic shareholders with strategic interests are resource rich from the resource-based perspective but are subject to incentive distortions when viewed from the agency framework. On the other hand, outside, dispersed, foreign shareholders with a financial focus tend to be resource poor from the resource based perspective but have relatively more aligned interests from an agency perspective.

1.3 Hypotheses

1.3.1 Foreign ownership

It is important to disentangle the effects of foreign ownership in a firm belonging to foreign industrial corporations and foreign financial institutions. Agency theory suggests that since foreign corporate ownership stakes are larger and less fragmented than stakes held by foreign institutional shareholders, the incentives of these larger shareholders are more aligned to perform an effective monitoring role. Foreign corporations holding an ownership stake in a domestic company also tend to invest in firms related to their core business. For example,

Honda is much more likely to invest in a transport company than in a brewery.

Thus, foreign corporations will have relevant experience and know how enabling it to 'benchmark' the performance of an Indian company relative to the performance of other companies in other markets wherein the foreign corporation holds a stake. The nature of such a relationship typically goes beyond financial contributions and extends to provision of managerial expertise and technical collaborations. The provision of such valuable expertise is characteristic of the resource-based perspective, which suggests that heterogeneity in resource capabilities of different owners will lead to a differential impact on firm performance. Companies with foreign corporate shareholdings are endowed with superior technical, organizational and financial resources. For instance, Chibber and Majumdar, (1999) find that the extent of a foreign firm's control over a domestic firm is positively associated with the degree of resource commitment to technology transfer. Djankov and Hoekman (2000) find foreign investment to be associated with the provision of generic knowledge (management skills and quality systems) and specific knowledge (which cannot be transferred at arm's length). Furthermore, a study conducted by Dhar (1988) on foreign controlled companies in India finds that most of these enterprises have business links beyond mere equity participation. They have technical collaborations, nominations of foreign directors on their boards, consultancy and marketing arrangements, trademarks, patent obligations and managerial resource sharing.

The sustainability of these advantages though, is often linked to the institutional context. As a consequence of imperfections in capital, labor and technological markets, foreign shareholders are, relative to domestic shareholders, in a better position to exploit their relative advantages to influence firm performance positively (Chibber and Majumdar, 1999; Khanna and Palepu, 2000a and Sarkar and Sarkar, 2000). Furthermore, countries with stronger shareholder rights and judicial systems and a higher level of economic development attract higher levels of foreign capital (Aggarwal *et al.*, 2003). Governments also stimulate investments made by foreign corporations by providing various incentives. These incentives are an example of how the

institutional context can influence the firm's ownership structure and the provision of specialized resources.

Relating these arguments to the multi-theoretic approach developed in the previous section it can be characterized that these foreign corporate holdings are *concentrated - outside* and *strategic - foreign* from agency and resource-based theories respectively. Merging these perspectives leads to a strong positive influence on firm performance:

H1a: Foreign corporate ownership positively affects firm performance.

Foreign financial institutional investors, on the other hand, can behave in a manner that is significantly different from foreign corporate investors (see Wilkins (1999) for an extensive discussion on the differences between foreign institutional investors characterized as foreign portfolio investment and foreign corporate investors characterized as foreign direct investment). In the case of foreign financial institutions, decisions to buy and sell shares of domestic firms are made by fund managers, whose performance is measured by comparing their results with a stock market index and/or with competing institutions of a similar class. These institutions have different investment horizons and are primarily oriented towards stock market based measures of performance. They have the requisite incentives to sell their stakes unless a firm can maintain short-term capital market gains. Foreign fund managers also manage a portfolio of a large number of investments in different industries to obtain the benefits associated with a diversified portfolio of investments. Furthermore, the ownership stake of a single foreign institutional investor as well as foreign institutional investors as a class in a single Indian firm is legally constrained. Consequently, they hold extremely fragmented stakes. These shareholders are thus representative of the *dispersed - outside* category of shareholders as viewed from an agency perspective. Foreign institutional investors, each holding only very small stakes, are unlikely to act as a cohesive block in enhancing corporate performance. Moreover, they tend to select investments in companies, which are large, familiar and actively traded

(Kang and Stulz, 1997), and which are covered by mass media (Falkenstein, 1996). If foreign institutional investors are dissatisfied with a company's share performance they have the relatively easy option to sell their ownership stake. As a result, the foreign fund manager is much more likely to sell the shares of an under performing company than to invest time and energy to institute a process of corporate restructuring. These features are characteristic of *financial - foreign* shareholders as viewed from a resource-based perspective. Combining these perspectives yields:

H1b: Foreign financial institutional ownership is positively associated with stock market-based measures of firm performance only.

1.3.2 Domestic ownership

In many emerging countries, domestic corporations are among the largest group of blockholders (Claessens *et al.*, 2000). In Indian listed firms they also constitute the largest category of shareholders. These blockholders usually have a long investment horizon. Allen and Phillips (2000) present evidence that supports the argument that corporate ownership provides significant benefits to firms involved in certain business agreements by reducing the costs of monitoring the alliances or ventures between firms and their corporate blockholders. Furthermore, in response to the greater competitive and liberalized environment in India since the mid 1990s, a number of companies have begun the process of acquiring strategic stakes in other companies in an effort to enhance and sustain the domain of their core competence. Thus their monitoring incentives as well as their abilities are substantially greater than those of domestic financial institutions. These domestic corporate holdings thus share the features of *concentrated - inside/outside* holdings (depending on group affiliation) from an agency perspective and are characterized as *strategic - domestic* shareholders from a resource- based perspective. Provided the institutional context in terms of legal regulations is favorable, the presence of large corporate shareholders also increases the likelihood that a firm is taken over. These domestic corporations

are therefore likely to have both the incentives and the skills to act as good monitors according to the agency, resource-based and institutional perspectives:

H2a: Domestic corporate ownership positively affects firm performance.

Domestic financial institutions form a significant chunk of the total shareholding of Indian firms, and consist of development financial institutions, insurance companies, banks and mutual funds. The common thread among all of these disparate domestic financial institutions is that they are predominantly government owned. Government ownership is plagued by a number of problems, which reduces their monitoring potential significantly. Firstly, the government's nominees on the board are typically bureaucrats with minimal expertise in corporate matters. This fits in with the characteristics of *financial - domestic* shareholders from the resource-based perspective. Secondly, even if these agents of the government are equipped for the task of oversight in corporate matters they do not have a strong incentive to be effective monitors as their tenure and career prospects are rarely affected by the performance of the companies in which they serve on the board as nominees. Moreover, as many of the prominent business families have links with the political elite who in turn possess substantial clout over the functioning of these predominantly government owned institutions, the nominees tend to invariably side with the management. These are the agency costs associated with a lack of incentive alignment and are a feature of *dispersed - inside* holdings. Thirdly, since governments especially in developing economies, espouse significant social welfare objectives, they are less profit driven and hence less vigilant in their monitoring role (Ramaswamy, Li, and Veliyath, 2002). Due to the nexus between the business families and the ruling elite, these government controlled financial institutions are at times forced to purchase stocks of under performing firms to bail them out in times of financial crisis. This demonstrates how the institutional context in which firms are embedded influences the behavior of these shareholders. Combining the agency, resource-based and institutional perspectives results in strong negative

reinforcing effects. It can therefore be reasonably assumed that these domestic financial institutions bring to bear a detrimental effect on firm performance:

H2b: Domestic financial institutional ownership negatively affects firm performance.

Jensen and Meckling (1976) postulate that ownership by managers leads to 'reduced on the job consumption'. In view of the preponderance of family based firms in emerging markets in general, and India in particular, this postulate assumes more significance. Owner managers have a strong incentive to manage their companies well and generate wealth as their fortunes are tied to the well being of the company. They are after all the promoters of the company and they have the greatest stakes (in tangible as well as in intangible terms) in the success and failure of their companies. However, beyond a particular threshold level of owner manager holding, the positive alignment effects are likely to be mitigated by entrenchment effects. For instance, Schulze *et al.* (2001) find that altruistic tendencies among family members can create a sense of entitlement by encouraging them to use the firm's resources as employment perquisites and other privileges. In a weak institutional context these tendencies tend to get exacerbated. A number of studies have documented such a curvilinear relationship between owner manager holdings and firm performance (e.g. McConnell and Servaes, 1990). Thus, from agency and resource-based perspectives, we formulate the following hypothesis with respect to shareholdings of owner managers, which are *concentrated - inside* and *strategic - domestic* in character:

H2c: Ownership by owner managers positively affects firm performance up to a particular threshold level beyond which increased levels of ownership negatively affect firm performance

1.3.3 Domestic ownership and business group-affiliation

Business groups consist of a collection of firms, which are linked together by common ownership, and director interlocks. Group affiliation has both benefits and costs. Among the beneficial effects, Chang and Hong (2000) find that group companies serve as an organizational structure for appropriating quasi rents, which accrue from access to scarce and imperfectly marketed inputs such as capital and information. Khanna and Rivkin (2001) report that groups can boost the profitability of member firms as they fill the voids left by the missing institutions that normally underpin the efficient functioning of product, capital and labor markets. However, groups are also associated with the larger possibility of (i) inefficient transfer of resources from more profitable firms to financially constrained firms (Shin and Park, 1999) and (ii) exploitation of minority shareholders by means of tunneling of resources through pyramids and extensive crossholdings by the controlling family (Johnson *et al.*, 2000, Bertrand *et al.*, 2002).

In many Indian business groups, domestic corporate holding is used primarily as a mechanism to expropriate wealth of other minority shareholders. These shareholdings serve as the primary vehicle to tunnel resources at the expense of minority shareholders and facilitate intra-group resource transfers. The controlling shareholders therefore use these shareholdings to further their own interests. In such a scenario, domestic corporate holding affiliated to a group would mitigate the monitoring efforts of other shareholders and would abet controlling shareholders in their efforts to exercise private benefits of control. This is consistent with the characteristic of these shareholders being *concentrated – inside* shareholdings as viewed from agency theory. While resource - based theory suggests that these shareholders possess traits of being *strategic - domestic* shareholders, being inside shareholders, they lack the positive reinforcing effects which non-group domestic corporate holdings possess. Consequently, it is expected that the negative agency effects will dominate:

H3a: Domestic corporate ownership in group firms will result in lower firm performance than domestic corporate ownership in non-group firms

Consistent with the earlier argument for a negative influence of corporate ownership within groups, owner managers belonging to group companies can also exert a negative influence. Their stock holdings can mitigate monitoring efforts by other shareholders because in group firms domestic corporations and group directors could act in consort to expropriate wealth. Owner managers in group-firms may also pursue non-profit maximizing objectives that increase their private benefits. In effect, while owner managers among group firms are generally endowed with greater levels of resource rich features such as board capital (human and relational) as viewed from a resource-based perspective *vis à vis* non-group firms (being *strategic - domestic* shareholders), in a weak institutional setting these positive effects are considerably attenuated by the higher agency costs (due to greater levels of *principal – principal* goal incongruity) associated with owner managers belonging to groups. I therefore expect the negative effects to dominate at all levels of ownership:

H3b: Ownership by owner managers in group firms will result in lower firm performance than ownership by owner managers in non-group firms.

1.4 Methodology

In line with prior studies that examine the relationship between ownership and firm performance (e.g. Gedajlovic and Shapiro, 1998; Thomsen and Pedersen, 2000; Khanna and Palepu, 2000a), we use the following regression specification:

$$\text{Performance} = f(\text{ownership variables, control variables})$$

The specification uses corporate performance as measured by ROA and Q as the dependent variable. Different categories of ownership variables such as foreign and domestic corporations, foreign and domestic financial institutions, and

directors and relatives are used as explanatory variables. This basic specification is estimated using a variety of regression models. As a robustness check we also use censored regression specifications wherein the left and right censoring values are the relevant caps of the two performance variables at the 1 percent and 99 percent level.

Arguably, the above specification could potentially suffer from reverse causality, a phenomenon wherein ownership is influenced by firm performance rather than the other way around. However, this is unlikely to be a serious problem in this study because of the fact that the major categories of shareholdings in India have remained relatively stable over time. In a similar vein, Thomsen and Pedersen (2000) in their study examining the impact of ownership structure on firm performance find equity ownership to be characterized by structural stability, which makes it reasonable to regard ownership structure as an exogenous variable.

1.5 Data

The data for the study are collected from a publicly available database named 'Capitaline' maintained by Capital Market Publishers India Pvt. Ltd. The database contains financial, shareholding, annual reports and other information filed with regulatory agencies of a large number of companies. In order to select the final sample, the following criteria have been adopted. First, the researcher identifies the year for which the database reports the maximum number of firms with financial and shareholding information. Second, the researcher restricts the analysis to firms listed on the Bombay Stock Exchange (BSE), which is the oldest, and one of the two main stock exchanges operating in India (the other one is the National Stock Exchange). This is because the reliability of data pertaining to performance and share ownership is better with regard to listed firms. Almost all published studies related to India use the BSE listing as a basis to construct their samples. It enables the researcher to compare the results of this study with those of previous studies. Third, following the convention adopted by studies of this nature, the researcher eliminated financial, utility, real estate, trading and Government firms (defined as firm with a total government holding of 50 percent

and more) from the sample. Fourth, as the study relates to Indian corporations, the researcher drops firms, which have a total foreign shareholding component of fifty percent and above. This eliminates subsidiaries of foreign firms. Finally, he drops a few more firms on account of a lack of information on some of the variables required for analysis and due to suspicion of typographic errors being present in some of the observations. This exercise leads to final sample size of 2034 firms belonging to the financial year 2013-2014. Many different industries are represented in the sample. With regard to the problem pertaining to outliers, which is common to an empirical analysis using financial statement data, instead of dropping them from the sample, the researcher caps the performance variables at their 1st and 99th percentile values.

1.6 Definition of variables

As stated earlier, ROA and Q are used as measures of firm performance. In line with similar studies of this nature, ROA is defined as the operating earnings before interest, depreciation and taxes over the book value of total assets. Q is defined as the sum of the market value of equity and book value of debt divided by the book value of assets. As a robustness check we also use the market to book value ratio (M/B), which is defined as the market value of equity over the book value of equity. However, as the M/B ratio is substantially correlated with the Q and the empirical results do not change qualitatively, we do not report these results separately. A description of these and other variables used in this study is presented below:

Performance variables:

ROA = (Earnings before interest, taxes and depreciation)/(Book value of total assets)

Q = (Market Value of Equity + Book Value of Total Debt)/(Book Value of Total Assets). The market value of equity is calculated using the closing value of stock prices on the last trading day of the financial year.

Ownership variables:

FOR = Percentage of common shares owned by foreign institutional investors and foreign corporations.

FORI = Percentage of common shares owned by foreign institutional investors

FORC = Percentage of common shares owned by foreign corporations

DOM = Percentage of common share owned by domestic (Indian) financial institutions and domestic corporations

DOMI = Percentage of common share owned by domestic financial institutions

DOMC = Percentage of common share owned by domestic corporations

DIR = Percentage of common shares owned by all directors and relatives

Principal control variables:

Sales = Annual sales turnover in Millions of Rupees

Age = Number of years since the date of incorporation of the company

Descriptive statistics on the performance measures of sample firms are presented in *Table 1.1*.

Table 1.1
Descriptive statistics
Performance measures

Performance	Mean	Median	Maximum	Minimum	Standard Deviation
ROA (%)	12.69	13.29	51.00	-35.00	12.88
Q	1.30	0.80	10.80	0.23	1.59

Explanatory variables

The most important explanatory variables used in the study are ownership variables. At first, a broad distinction between foreign shareholders and domestic shareholders has been made. The variables representing these shareholdings are denoted as FOR and DOM. Since the purpose of this study is to examine the influence of ownership at a disaggregated level, the researcher splits the broad ownership variables into important categories. The percentage of common shares held by foreign institutional investors has been calculated and the variable is identified as FORI. Although, on average, they account only for a small percentage of the shares of Indian listed corporations (*see Table 1.2*)¹, they

account for a substantial proportion of the daily stock turnover of large and liquid stocks on the stock exchange, and are seen as significant drivers of market sentiment.² The variable FORC refers to the percentage of common shares held by foreign corporations. We observe that a single firm almost always holds the shares belonging to this category. These shareholdings are primarily foreign collaborator holdings. As a consequence, these holdings do not represent mere financial investments in companies, but substantial technical and managerial collaborations with Indian firms. The average FORC in the sample is larger than that of the FORI (see *Table 1.2*). Although, only a limited number of Indian firms (429) have foreign corporations as shareholders, the average stake held by these foreign corporations in this sub-sample is substantial (17.83 percent).

The variable DOMI refers to the percentage of common shares owned by domestic (i.e. Indian) financial institutions. The variable DOMC refers to the percentage of common shares held by domestic Indian corporations. This is the largest component of equity ownership in Indian listed firms (see *Table 1.2*). Another ownership variable DIR represents the percentage of common shares owned by all directors (including relatives). It is the second largest category of owners in Indian listed firms (see *Table 1.2*).

Table 1.2
Descriptive Statistics- Performance Variables

Ownership Variables	Mean	Median	Maximum	Minimum	Standard Deviation
<i>FORI</i>	1.17	0.00	44.80	0.00	3.96
<i>FORC</i>	2.45	0.00	48.99	0.00	7.86
<i>FOR</i>	3.62	0.00	49.00	0.00	8.88
<i>DOMI</i>	7.13	2.56	66.19	0.00	9.77
<i>DOMC</i>	28.47	25.74	100.00	0.00	21.38
<i>DOM</i>	35.60	33.41	100.00	0.00	24.02
<i>DIR</i>	17.28	10.87	91.20	0.00	18.97

¹ In our sample, 727 firms have shareholding by foreign financial institutions. The mean (median) value of this sub- sample is 3.63 (0.64) percent.

² While as of January 2014, foreign institutional investors constituted barely 5.6 percent of the market capitalization, they account for 59 percent of the 'free float' (shares that are actually publicly available for trading) in most big stocks. (see Banaji, 2000).

In order to identify corporate and family ownership belonging to group firms, the researcher used the classification made by the database itself. It determines group affiliation from a variety of sources including public announcements made by individual corporations and groups, regulatory filings and stock exchange listings by corporations. There are 900 non-group firms and 705 group firms in our sample. Group affiliation information is then used to construct two interaction variables, DOMC*Group (which represents domestic corporate ownership in firms affiliated to groups) and DIR*Group (representing director and other family member ownership in firms affiliated to groups). These interaction variables are employed in the regression specification to examine the influence of these ownership categories on firm performance when they belong to business groups.

Control variables

The two principal control variables used are Sales and Age. Sales is a proxy for the size of a firm. Size of a firm can have a significant influence on firm performance and a proxy for firm size is used in almost all studies explaining firm performance. Age is also considered to be an important determinant of firm performance. Older firms are more experienced, receive the benefits of learning and are associated with first mover advantages. However, older firms are also arguably prone to inertia and are less flexible in their ability to adapt to competitive pressures. Summary statistics of these two control variables are presented in *Table 1.3*.

Table 1.3
Descriptive statistics
Key firm characteristics

Firm variables	Mean	Median	Maximum	Minimum	Standard Deviation
Sales(Rs. Millions)	2323	590	158472	1	7926
Age (years)	23	16	121	2	17

The researcher also adjusts for business group affiliation with a group dummy and for industry factors because differences on these dimensions can influence the relative performance of firms. Although the database has its own classification of industries, in order to make the classification more amenable to that of previous studies, I have recoded these industries into their closest two-digit Standard Industrial Classification (SIC) equivalents. In total, the sample firms are distributed over 22 different two digit SIC code industries, which form the basis for industry dummies, used in the regression analysis. The empirical analysis controls for all these factors. Details pertaining to industry distribution are depicted in *Table 1.4*.

Table 1.4
Sample industry distribution

Industry	Number of Firms	Percentage of Sample
Manufacturing (SIC 35 and 39)	432	21.25
Chemical and allied products (SIC 28)	390	19.17
Textile Mill products (SIC 22)	275	13.52
Electric and other electronic equipment (SIC 36)	152	7.45
Primary Metal Industries (SIC 33)	158	7.75
Food and Kindred products (SIC 20)	125	6.16
Transportation Equipment (SIC 37)	101	4.97
Services (SIC 70, 73, 78 and 80)	139	6.85
Paper (SIC 26)	83	4.07
Stone, Clay and Glass products (SIC 32)	61	2.98
Metal and Mining, Oil and Gas extraction and Petroleum and Coal products (SIC 10, 13, 29)	46	2.28
Rubber and Miscellaneous plastic products (SIC 30)	28	1.39
Leather and leather products (SIC 31)	22	1.09
Non-metallic minerals (SIC 14)	12	0.60
Agriculture (SIC 01, 02, 07, 08 and 09)	10	0.50

Correlation statistics for variables used in the analysis are depicted in *Table 1.5*

Table 1.5
Pearson correlation matrix

Variable	FORI	FORC	FOR	DOMI	DOMC	DOM	DIR	LOG SALES	LOG AGE	ROA	Q
<i>FORI</i>	1										
<i>FORC</i>	0.02	1									
<i>FOR</i>	0.46	0.90	1								
<i>DOMI</i>	0.12	-	0.04	1							
<i>DOMC</i>	0.01	-	0.04	0.06	1						
<i>DOM</i>	0.06	-	0.02	0.46	0.92	1					
<i>DIR</i>	-	-	-	-0.3	-0.49	-	1				
<i>Log Sales</i>	0.23	0.02	0.16	0.38	0.29	0.39	-0.22	1			
<i>Log Age</i>	0.09	0.02	0.06	0.37	0.21	0.30	-0.17	0.46	1		
<i>ROA</i>	0.08	0.10	0.13	0.02	0.07	0.06	0.07	0.37	0.11	1	
<i>Q</i>	0.22	0.04	0.13	0.03	0.02	0.00	-0.00	-0.03	0.16	0.11	1
<i>Group</i>	0.14	0.04	0.10	0.27	0.37	0.39	-0.41	0.41	0.31	0.03	0.09

Note: All correlations equal to or greater than 0.07 are significant at the 5 percent level

1.7 Results and discussion

The results of regression analysis are presented in *Table 1.6* and *Table 1.7*. In all regression specifications, industry dummies have been included to take into account any industry-specific factors that could affect firm performance. These coefficient estimates are not reported for the sake of brevity. The regression result of the base model consisting of only control variables is presented in *Model (1)*. The next column represents the results of introducing the ownership variables into the regression specification. This depicted in *Model (2)*. It has been observed that the coefficient of foreign ownership (FOR) is positive and statistically significant. This result is consistent regardless of whether the performance measure is ROA (*Table 1.6*) or Q (*Table 1.7*). The findings suggest that foreign ownership positively affects firm performance, and is consistent with that of prior studies.

Table 1.6
Firm performance measured by ROA

Explanatory Variables	(1)	(2)	(3)	(4)	(5)
<i>FORI</i>			-0.016		-0.002
<i>FORC</i>			0.137**		0.133**
<i>FOR</i>		0.107**		0.106**	
<i>DOMI</i>				-0.154***	-0.153***
<i>DOMC</i>				0.042*	0.041*
<i>DOM</i>		0.019	0.018		
<i>DIR</i>		0.143**	0.144**	0.125**	0.127**
<i>DIR</i> ²		-0.001	-0.001	-0.001	-0.001
<i>Log Sales</i>	3.174***	3.115***	3.169***	3.276***	3.321***
<i>Log Age</i>	-0.974	-0.953	-0.935	-0.0384	-0.374
<i>Group</i>	-4.118***	-2.885***	-2.807***	-2.958***	-2.889***
<i>Adjusted R</i> ²	0.187	0.201	0.202	0.216	0.217
<i>F-statistic</i>	10.246***	9.714***	9.467***	10.224***	9.951***

Note:

This table presents the results of OLS regressions of firm performance on ownership and firm specific control variables. Group is dummy variable representing business group membership. It is coded as one for group-affiliated firms and zero otherwise. The regressions are corrected for heteroskedasticity using White heteroskedasticity-consistent standard errors and covariance. Industry dummies and an intercept term are included in each regression but their coefficients are not reported. The asterisks ***, ** and, * denote statistical significance at 1 percent, 5 percent, and 10 percent levels, respectively.

Now the disaggregation of foreign ownership has been done into its two main components. *Models (3) and (5) in Tables 1.6 and 1.7* provide the results. When foreign ownership is broken up into those relating to foreign corporations (FORC) and those pertaining to foreign institutions (FORI), an interesting picture emerges: the variable representing ownership by foreign corporations (FORC) is positive and significant, while ownership by foreign financial institutions (FORI) is not significant (*Model (3) of Table 1.6*). The same results are obtained in *Model (5) of Table 1.6*, where the researcher disaggregates domestic ownership into domestic institutional and domestic corporate ownerships.

When Q is used as the performance variable (*Models (3) and (5) in Table 1.7*), it has been found that both foreign corporations (FORC) and foreign institutional investors (FORI) variable are positive and significant. It is also observed that the regression coefficient of FORI (0.076) is considerably larger than that of FORC (0.014). It indicates that foreign institutional owners have a larger impact than foreign corporate owners when performance is measured using stock market valuation criterion. The significant positive relationship of foreign institutions with Q as performance variable may indicate that these institutions are either 'tracking' better performing firms or 'cherry picking' them (i.e. investing in firms that offer

superior market returns). These empirical results are consistent with hypothesis *H1a* and *H1b*.

The low and dispersed shareholdings of foreign institutions compared to foreign corporations suggests that foreign institutions are unlikely to be in a position to monitor and significantly influence the operating performance of these companies. For foreign corporations, whose average shareholdings are substantially larger, the incentives and rewards to monitor, their resource endowments and capabilities and the degree of commitment are higher. Since foreign corporations provide an integrated package of capital, management and technology that is less easily or efficiently assembled piecemeal (Chhibber and Majumdar, 1999), their positive impact is captured in both the ROA and Q regressions.

Table 1.7
Firm performance measured by Q

Explanatory Variables	(1)	(2)	(3)	(4)	(5)
<i>FORI</i>			0.076***		0.076***
<i>FORC</i>			0.014***		0.014***
<i>FOR</i>		0.027***		0.0267***	
<i>DOMI</i>				0.004	0.003
<i>DOMC</i>				0.006*	0.006**
<i>DOM</i>		0.006*	0.006**		
<i>DIR</i>		0.005	0.004	0.005	0.004
<i>DIR</i> ²		-0.001	-0.001	-0.001	-0.001
<i>Log Sales</i>	0.059	0.024	0.002	0.025	0.004
<i>Log Age</i>	-0.191**	-0.197**	-0.204**	-0.191**	-0.196**
<i>Group</i>	-0.134	-0.197*	-0.228**	-0.197*	-0.229**
<i>Adjusted R</i> ²	0.297	0.316	0.333	0.316	0.332
<i>F-statistic</i>	18.004***	17.011***	17.705***	16.434***	17.132***

Note:

This table presents the results of OLS regressions of firm performance on ownership and firm specific control variables. Group is dummy variable representing business group membership. It is coded as one for group-affiliated firms and zero otherwise. The regressions are corrected for heteroskedasticity using White heteroskedasticity-consistent standard errors and covariance. Industry dummies and an intercept term are included in each regression but their coefficients are not reported. The asterisks ***, ** and, * denote statistical significance at 1 percent, 5 percent, and 10 percent levels, respectively.

The present findings are consistent with those of prior studies. Boardman *et al.* (1997) use a sample of Canadian firms and find significant performance differences among multinational enterprises or their subsidiaries and domestic firms. They attribute these differences to firm specific advantages (resource heterogeneity) and differences in agency costs among foreign and domestic firms owing to ownership concentration differences. Among emerging economies, Willmore (1986) analyzes a matched sample of foreign and domestic firms in Brazil and finds foreign firms to have higher productivity and greater capital intensity. In addition to

the agency cost and resource-based advantages, Wiwattanakantang (2001) finds that institutional factors such as investment promotion benefits lead to performance differences between foreign controlled firms and domestic firms.

The researcher undertakes a number of checks to determine whether the differential results reported with regard to foreign corporate shareholdings and foreign institutional shareholdings are due to model specifications. This includes re-estimating the regressions by dropping each of the control variables. In every case, except when we do not control for firm size the differential result persists. The variable Sales, our proxy for firm size, is positively correlated with foreign institutional ownership. This suggests that foreign institutional investment is primarily in large firms. This 'size bias' is consistent with the findings of Kang and Stulz (1997), who report a similar, albeit stronger correlation in their analysis of foreign portfolio ownership in Japan. Moreover, it reinforces the argument that foreign institutional investors invest in large, liquid companies which enable them to exit their positions quickly at relatively lower cost.

The variable representing domestic corporate ownership (DOMC) is positive and significant (*Models (4) and (5) in Table 1.6 and Table 1.7*) regardless of the performance measure used. This confirms hypothesis *H2a*. The finding is consistent with positive influence exerted by corporate holdings as reported by Claessens (1997) and Qi *et al.* (2000). It is also broadly in agreement with Sarkar and Sarkar (2000) who find that corporate shareholdings beyond 25 percent positively and significantly influence company value.

The regressions in *Models (4) and (5) of Table 1.6* confirm hypothesis *H2b* which predicts that domestic financial institutional ownership (DOMI) in India negatively affects firm performance. The reported coefficients are large (0.15 for both models) and attest to the severity of the negative influence attributed to these blockholders. *Models (4) and (5) of Table 1.7* that use Q as the performance measure show an insignificant impact. This result is in partial agreement with Khanna and Palepu (2000a) as they do not obtain significant results in any of their cross-sectional specifications using Tobin's Q. However, using panel data from 1990-94, and a specification in which the dependent variable is defined as the change in

Tobin's Q, they find a significant negative influence. Furthermore, Sarkar and Sarkar (2000) using a similar measure of performance as the present study find that domestic institutional investors have an insignificant effect on company value.

Hypothesis *H2c* states that ownership by owner managers has a curvilinear relationship with firm performance. Present study's empirical results do not confirm this hypothesis. In all model specifications, the coefficient estimates of the squared term, DIR^2 are statistically insignificant. Therefore, there is no evidence of an entrenchment effect of owner managers among Indian corporations. Instead, the DIR variable positively influences firm performance (*Models (2) to (5) in Table 1.6*) when ROA is the performance measure, however the impact is insignificant when Q is the performance measure (*Models (2) to (5) of Table 1.7*). A speculative reason for the lack of a discernable entrenchment effect could be that most of these holdings (especially in group firms) are rather small. Furthermore, as Dharwardkar *et al.* (2000) indicate, as emerging economies have feeble minority shareholder protection statutes fairly large holdings are necessary to overcome the agency costs and consequently the entrenchment effect possibly sets in only for majority holdings which are prevalent only among a small minority of firms in the sample.

The results of the investigation of the impact of domestic corporate ownership in group-affiliated firms on firm performance (hypothesis *H3a*) are presented in *Table 1.8*. The interaction variable $DOMC*Group$ is used in *Models (1), (3), (4) and (6)* to examine this hypothesis. While the coefficient of the variable is negative in *Models (4) and (6)* when Q is the performance measure, it is statistically significant only in *Model (4)*. Moreover, the coefficients of the variable in *Models (1) and (3)* are positive although insignificant. There is therefore only weak evidence for *Hypothesis 3a* which postulated that domestic corporate ownership in group firms is used as a vehicle by traditional family based groups to exert their influence on the affairs of the firm and extort private benefits of control. It has been found that the mean (median) share ownership by domestic corporations (DOMC) belonging to group firms is 34.22 (35.08) whereas the respective figures for non-group firms are 20.23 (14.92). In contrast, the mean (median) figures for all directors and relatives (DIR) are

7.78 (1.54) for group firms and 23.69 (20.76) for non-group firms. These large differences between the DOMC and DIR variables between group and non-group firms clearly suggest that the major proportion of group influence is channeled through domestic corporate holdings Bebcuk *et al.* (1999) and Johnson *et al.* (2000) present arguments on how these domestic corporate holdings can be used to form pyramids that can be effectively employed for the purpose of tunneling resources at the expense of other shareholders.

Results of testing the hypothesis predicting the impact of owner managers among group firms (*H3b*) are also presented in *Table 1.8*. This is tested in *Models (2), (3), (5) and (6)*. The variable DIR*Group representing owner managers belonging to group firms in *Models (2) and (3)* is negative but insignificant and in *Model (6)* is positive and insignificant. However, the interaction coefficient DIR*Group in *Model (5)* is found to positively and significantly influence firm performance. This is contradictory to our hypothesis. Therefore hypothesis *H3b* is not supported.

Table 1.8
Regressions using interactive group dummies

Explanatory Variables	ROA			Q		
	(1)	(2)	(3)	(4)	(5)	(6)
<i>FORI</i>	-0.001	-0.004	-0.001	0.014***	0.014***	0.077***
<i>FORC</i>	0.130**	0.130**	0.130**	0.075***	0.077***	0.014***
<i>DOMI</i>	-0.154***	-0.156***	-0.156***	0.004	0.004	0.004
<i>DOMC</i>	0.003	0.039*	0.030	0.010**	0.007**	0.010**
<i>DOMC*Group</i>	0.026		0.021	-0.009*		-0.007
<i>DIR</i>	0.091***	0.099***	0.096***	0.003	-0.001	0.001
<i>DIR*Group</i>		-0.030	-0.019		0.011**	0.006
<i>Group</i>	-3.822***	-2.618**	-3.422*	0.062	-0.372***	-0.106
<i>Log Sales</i>	3.311***	3.306***	3.255***	0.002	-0.004	0.003
<i>Log Age</i>	-0.349	-0.361	-0.346	-0.205**	-0.201**	-0.206***
<i>Adjusted R²</i>	0.217	0.217	0.216	0.336	0.335	0.336
<i>F- statistic</i>	9.956***	9.950***	9.639***	17.358***	17.325***	16.874***

Finally, although the researcher does not directly measure the impact of the various ownership variables on non-financial measures of performance in the present study, several studies have documented a significant positive influence of foreign holdings and large blockholdings on productivity. On the other hand, the empirical evidence on the influence of institutional shareholders on innovation and productivity is rather mixed.

1.8 Additional analysis and robustness tests

An issue which could raise some concern relates to the endogeneity involved in the relationship between ownership structure and firm performance. It could be argued that instead of ownership structure influencing firm performance, the causality could be other way around i.e., higher levels of performance influences changes in ownership structure. While it is not expected this to be a serious concern in India owing to the relative time stability of most of the ownership categories, a test with lagged ownership variables has been conducted to emphasize the robustness of the results as far as causality is concerned. A regression specification has been employed for a small sub-sample of firms for which the performance data for the year 2014 and ownership data for 2013 is available. Using a lagged measure of the ownership variable implies a stronger assertion of causality.

Table 1.9
Lagged estimations

	ROA		Q	
Explanatory Variables	(1)	(2)	(3)	(4)
<i>FORC</i>	0.260***	0.307***	0.017***	0.021***
<i>FORI</i>	-0.013	-0.024	0.018	0.017
<i>DOMC</i>	0.024	0.021	0.001	0.001
<i>DOMI</i>	-0.056	-0.049	-0.006	-0.005
<i>DIR</i>	0.135**	0.156***	0.001	0.002
<i>Log Sales</i>	2.728***	2.493***	0.153***	0.132***
<i>Log Age</i>	-1.953	-0.928	0.019	0.100
<i>Group Dummy</i>	-2.373	-0.947	-0.343**	-0.242*
<i>Industry dummies</i>	Excluded	Included	Excluded	Included
<i>Adjusted R²</i>	0.109	0.127	0.202	0.245
<i>F- statistic</i>	3.987***	3.178***	7.199***	5.857***

Note:

This table presents the results of OLS regressions of firm performance on ownership and firm-specific control variables. The regressions are corrected for heteroskedasticity using White heteroskedasticity-consistent standard errors and covariance. Industry dummies and an intercept term are included in each regression but their coefficients are not reported. The asterisks ***, ** and, * denote statistical significance at 1 percent, 5 percent, and 10 percent levels, respectively.

While the researcher was not able to recreate a fully representative sub-sample (in terms of a similar proportion of group/non-group firms etc.), he did follow exactly the same criterion for firm selection as in the main sample. (Sales, age, group affiliation and industry dummies were used as controls. The results are fairly robust. Foreign corporate ownership is positive and significant (at the 1 percent level) using both measures of

performance (ROA and Q). In contrast, foreign institutional ownership remained insignificant. Considering that the lagged ownership measure would imply causality, the result further substantiates the argument that foreign corporate ownership is causal of superior performance whereas foreign institutional ownership is reflective in character. Support was also found for the positive influence of director ownership. With regard to domestic corporate ownership and institutional ownership, their influence was on expected lines (positive and negative respectively) but they were insignificant. These results are depicted in *Table 1.9*.

Table 1.10
Censored regressions

Explanatory Variables	ROA	Q
<i>FORI</i>	0.002	0.077***
<i>FORC</i>	0.133***	0.014**
<i>DOMI</i>	-0.155***	0.003
<i>DOMC</i>	0.041*	0.006***
<i>DIR</i>	0.095***	0.002
<i>Log Sales</i>	3.327***	0.011
<i>Log Age</i>	-0.394	-0.205***
<i>Group Dummy</i>	-2.979***	-0.238**
<i>Adjusted R²</i>	0.216	0.316
<i>Log likelihood</i>	-3833.460	-1685.706
χ^2	311.693***	536.686***

As a robustness check the researcher also performed censored regressions for all the specifications discussed earlier. These censored regressions are robust to the dependent variable being capped at the lower and upper levels. The earlier results remain unchanged. These results are shown in *Table 1.10*.

Finally, to determine if higher levels of firm performance are associated with foreign corporate and institutional ownership, the researcher undertook logit estimation (not reported). The estimation results confirm the positive association of both performance measures with foreign corporate ownership. In contrast only Q is found to have a positive association as far as institutional ownership is concerned. It also documents that large companies which tend to be visible and actively traded have a higher probability of being associated with foreign institutional owners. These results are consistent with the findings and inferences drawn from the principal specifications presented earlier.

1.9 Conclusions

The present study demonstrates the necessity of disaggregating foreign ownership into foreign institutional and foreign corporate shareholdings. These two categories of shareholders need to be viewed and analyzed separately. The underlying dynamics governing the investments by institutions and corporations are vastly different. The findings of the study highlight the fact that the impact of foreign institutional investors on firm performance is not clear-cut. The results reported by earlier studies on aggregate foreign shareholdings need additional review. The distinction made in this study between foreign portfolio/institutional ownership and foreign direct/corporate ownership holds relevance among the broader comity of emerging economies, which are characterized by increasing external capital inflows. Future studies examining the role of foreign ownership in emerging economies should incorporate this distinction. The present study have provided some evidence of the benefits of foreign corporate holdings based on their superior monitoring abilities, resource endowments and skills to use the institutional environment to their advantage. However, it has been acknowledged that these shareholdings are not the panacea for all the monitoring and performance ailments facing emerging economy firms.

Although only a small proportion of Indian firms posses foreign corporate shareholdings, their stakes in individual firms are substantial. While their numbers and holding levels are expected to rise in the foreseeable future, in the short and medium term, domestic shareholders have to don the mantle of corporate reformers. Among the outside domestic shareholders, the study shows that domestic corporations positively influence firm performance although the coefficients do not have the same magnitudes as for foreign corporations. Nevertheless, the result assumes significance in view of the fact that domestic corporations hold large blocks of shares, and unlike domestic financial institutions, their monitoring abilities and incentives are substantially superior. Moreover, as firm managements professionalize, travel further along the learning curve and spill over effects begin to manifest themselves, the quality of the monitoring effort may increase.

In the longer term as the government progressively relinquishes control over domestic financial institutions, Indian private institutional investors could gain in prominence and skill. Under these circumstances, there could possibly be a reversal of some of the negative influence reported by earlier studies as well as the present study with regard to domestic financial institutions. It needs to be noted though, that especially with regard to domestic mutual funds, being financial institutions of a similar nature they suffer from some of the very same problems that plague foreign institutional investors.

Finally, the story as far as directors and their relatives shareholding is concerned is a mixed bag. The absence of an entrenchment effect and the strong positive influence, which these shareholders exert when return on assets is the measure of performance, is encouraging. Their lack of influence with regard to stock market measures of performance is puzzling. Further research taking into account more board level parameters and examining their influence on performance may shed more light on this vexing issue.

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